

1. The abstract of Paul Samuelson's paper "Risk, Seasonality, and Stock Market Dominance" was published in Volume 25, No. 1, March 1959 of the Journal of Financial and Quantitative Analysis is given below.
Abstract:
Recent research finds that the price pattern of the stock market is not random. The potential value of the efficient market hypothesis is limited by the "seasonality" phenomenon. This paper shows that the tendency for losses to be followed by gains is not due to random chance, but to the tendency for losses to be smaller than gains. When losses are compared to gains of equal size, there is little evidence of any seasonality. However, when gains are compared to losses of equal size, there is little evidence of any seasonality. Why is this a violation of the efficient market hypothesis?
☒ This is a violation of market efficiency because you are able to predict the stock price.
☐ Market stocks can never be predicted.
☐ Seasonality and market efficiency are not related.
1 point

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5. Getzen-Greengrass, Ben Jacobowitz, and Benjamin Meese published the paper titled "Thinking all, Another puzzle?" in issue 3, Volume 98 of the Journal of Financial Economics. The abstract of the paper is given below:
Changes in oil prices predict stock market returns worldwide. We find significant predictability in both developed and emerging markets. These results cannot be explained by time-varying risk premia as oil price changes also significantly predict negative market returns. Investors seem to underreact to information in the price of oil. A rise in oil prices eventually lowers future stock returns. Consistent with the hypothesis of a delayed reaction to markets, the relation between monthly stock returns and lagged monthly oil price changes strengthens once we introduce lags of several trading days between monthly stock returns and lagged monthly oil price changes.
Based on the information given in the abstract, if the price of oil decreases this month, what will happen to the stock market return next month?
☐ The stock market return decreases.
☒ The stock market return increases.
1 point

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Based on the information given in the abstract, if the price of oil increases this month, what trading strategy based on market returns will generate profits?
☐ Short the market index.
☒ Long the market index.
1 point

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9. Which of the following is not a section in an academic paper?
☐ Hypothesis
☒ Executive summary
☐ Results
☐ Abstract
1 point

10. What is the process of analyzing data from different perspectives and summarizing it into useful information - information that can be used to make trading decisions?
☐ Stress Testing
☒ Data Mining
1 point

Course Review Quiz 1/25/2024
1. SAMUELSON'S paper, published in 1959, showed that identifying stock that such any year may result in permanent failure of this course or discipline in the "Seasonality" section.
You must select the discipline in order to submit the assignment.

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https://www.coursera.org/learn/trading-algorithms/assignment-submission/Y2aUq/quiz-2/attempt

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